

government. We trust the law. Our economic system is based on trust. With cryptocurrencies, we don't need trust. This is a design goal for cryptocurrencies, and blockchain technology in general. Trust, while heartwarmingly reaffirming of the good the world when it isn't broken, can be disastrous when it is. Rationally, it makes sense to reduce risk as much as possible. Hence, it is a good idea to eliminate the need for trust, while still maintaining reliability and preventing malicious activity.

In this context we can examine what trust is, in the first place, and how it plays a role in economic and technological systems. In the most basic description possible, trust is an assurance of reality. When you trust someone, you believe them and allow them to affect how you perceive the world (think Truman Show). While asking someone on the road for directions, this may sometimes lead you to a wrong address, but more often than not there is no way other than trusting another. The world revolves around trust. Even if someone gives you wrong information today, you can verify it for yourself - but what about the past and the future? We implicitly trust historians and books for an account of our ancestors, and trust politicians and policies with our future development. To make the concept of past trust and future trust more relevant, consider the case of a digital currency where there are no physical tokens as proof of ownership, with which we wish to have a functional economy. In this case, without a central authority to place



Image: BTC Keychain

The need for physical tokens is so strong, that people have made them for bitcoin as well.